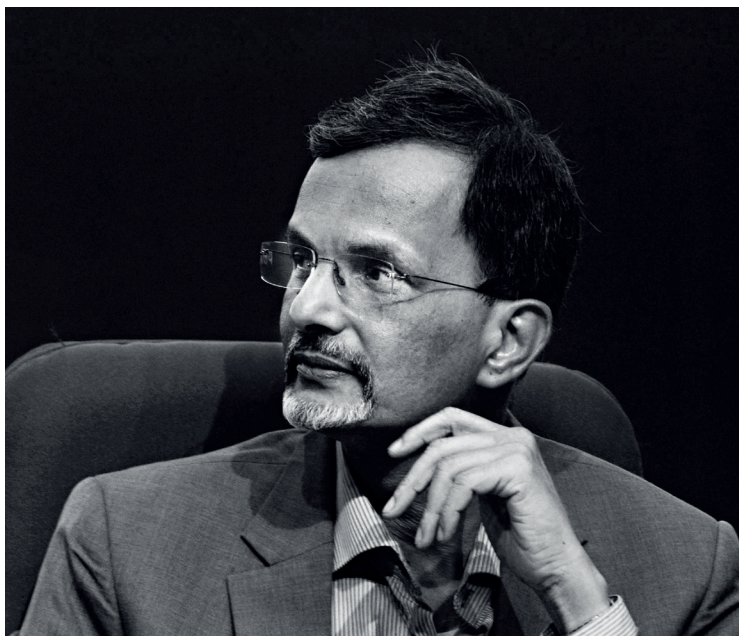




“I believe a more visible and evident recovery in demand, to be followed by a capex cycle, will start to happen hopefully in the second half of the year”

I mean, both the Indian industry and farm sector are fragmented. I understand that we don't need behemoths, but we do need a vibrant *mittelstand* [small and mid-size companies], as they say in Germany. So we have extremely fragmented [and] inefficient spread of capacity both in the farm sector and in the factories. So these are all the reasons for the stickiness that you pointed out. But on the cyclical side, definitely, the fact is we are concerned about 7 per cent inflation when the inflation rate in Germany is close to 8-8.5 per cent and in the US it is 9 per cent. And in some other European countries, it is even close to double digits. That gives me comfort that we are becoming intolerant of inflation, and that inflation intolerance will naturally feed into slower and more stable inflation expectations down the road. Our inflation expectations are not out of control, as they were in the early part of the millennium between 2009 and 2014. So in that sense, I will say India's inflation, while it is definitely above the

target 2-6 per cent range, has peaked and a combination of measures, both fiscal and monetary, have played a part in stabilising expectations.

Q: You spoke about exports being hit by a global slowdown. I want your thoughts on what it could be doing to India's current account deficit that has started growing again. Equally, while our macros may not be as vulnerable as the taper tantrum period of 2013, what it could mean for the rupee.

A: Udayan, if you had asked me this even a month ago, I would have been far more worried, but as we discussed earlier in the conversation—with the decline in the commodity prices, oil, industrial metals, food, etc., I'm much more sanguine about the current account situation today. Yes, of course, there is going to be a slowdown in export growth because last year was a catch-up year and we did very well both in manufacturing... by the way, you must have noticed that Infosys upped its revenue guidance. So the services sector... IT sector exports are still doing well. And therefore whatever we might lose in terms of momentum, the actual growth rate will still be positive on manufacturing exports or on merchandise exports in general. But the growth rate may be lower than what we saw in 2021-22. So in that sense, there is a possibility that the overall export growth, including services, may not be as badly affected as we think because of the external slowdown. But on the demand side, we know the oil import bill, fertiliser import bill, etc., are all contributing to the potential rise in current account deficit to the tune of 2.8-3 per cent of GDP, somewhere in the vicinity of \$100-105 billion. And, because of the monetary tightening, which usually is accompanied by a flight to dollar and risk aversion on the part of portfolio investors, there is concern about financing this current account deficit. But the RBI governor put it so well, when he said that is why you buy an umbrella when there is going to be rain, alluding to the fact that we have \$580 billion of reserves, and we have liberalised some interest rate calculations for non-resident Indian deposits and debt flows, and the government has raised the import duty on gold. So on balance, even though it's a challenging situation, the incremental developments of the last few weeks are actually in India's favour. If anything, India's risk perception has improved and Fitch improved the outlook for India's credit rating from negative to stable. So if you put all these things together, I don't think it's an insurmountable challenge for India's monetary policy authorities or the fiscal authorities to handle the financing of the current account deficit this year or next year. **BT**